

factory margin over interest charges in *every* year during the period studied. If a bond is deficient in any one of these three aspects, the result should not necessarily be to condemn the issue but rather to exact an average earnings coverage well in excess of the minimum and to require closer attention to the general or qualitative elements in the situation. If the trend has been unfavorable, or the latest figure alone has been decidedly poor, the investor should certainly not accept the bond unless the average earnings have been substantially above the minimum requirement—and *unless also he has reasonable grounds for believing that the downward trend or the current slump is not likely to continue indefinitely*. Needless to say, the amount by which the average must be advanced in order to offset an unfavorable trend or current exhibit is a matter within the discretion of the investor to determine, and cannot be developed into any set of mathematical formulas.

**The Relation of the Coupon Rate to the Earnings Coverage.** The theory of earnings coverage is complicated by the arithmetical fact that this coverage varies inversely with the rate of interest. Given the same earnings, interest on a 3% bond issue would be earned twice as many times as it would be if the rate were 6%. Consider the following comparison:

|                       | Utility Company A               | Utility Company B                |
|-----------------------|---------------------------------|----------------------------------|
| Earnings for interest | \$600,000                       | \$600,000                        |
| Interest charges      | (3% on \$10,000,000)<br>300,000 | (5½% on \$10,000,000)<br>550,000 |
| Times interest earned | 2.00                            | 1.09                             |

The difference in coupon rates alone makes Company A pass our earnings coverage test, whereas Company B barely earns its interest. This point may well raise several questions, *viz.*: (1) Can a bond be considered “safe” merely because it carries a low coupon rate? (2) What would be the effect on this safety of a rise in the general rate of interest? (3) Are the bonds of Company A a sounder purchase for investment than those of Company B? Let us attempt to answer these questions briefly in their order.

1. *Effect of Coupon Rate on Safety.* Safety, in the technical sense of assurance of continued payment of interest, can certainly be created or destroyed by varying the coupon rate. It is not feasible to think of a 5½%